

EisaX Intelligence Report: ADNOC GAS.AE

● **Live Price:** 3.31 (%2.16+) | **Sector:** Energy | **EisaX Score:** 61/100 |  **ADX/DFM · AED** |  **Brent: \$106.79**

MEMORANDUM

To: Investment Committee

From: EisaX, Chief Investment Officer

Date: March 31, 2026

Re: Analysis of ADNOC GAS.AE

1. Executive Summary

The investment case for ADNOC GAS.AE presents a balanced risk-reward profile, aligning with a HOLD verdict. While the stock trades at a discount to regional peers and benefits from elevated oil prices, fundamental growth is stagnant and technical momentum is weak. The current market environment of extreme fear offers a potential entry point for patient capital, but requires careful timing.

2. Fundamental Analysis

Growth metrics are mixed: while EPS grew 21.0% YoY, revenue contracted by -2.9% YoY to 18.5B, indicating margin expansion but stagnant top-line growth. Profitability is anchored by a solid net margin of 19.4%. Valuation appears reasonable with a TTM P/E of 13.2x and a forward P/E of 13.7x, supported by a dividend yield of 5.28%. A significant data limitation is the absence of key metrics like ROE, ROIC, and gross margin, which restricts a full quality assessment.

3. Technical Outlook

The trend is **Bullish** (price at 3.31 is +15.5% above the SMA200 of 2.87), but momentum is **Bearish** with a MACD bearish crossover. The RSI is neutral at 52.0. The ADX at 8.8 confirms a weak or absent trend. Volume is LOW versus the 90-day average, indicating a lack of conviction behind the recent price move and suggesting vulnerability to a pullback. The nearest Fibonacci resistance is at 3.37 (52-week high), with key support at 3.20 (recent swing low).

4. Key Risks

- Oil Price Volatility (Severity: High):** As an energy sector stock, ADNOC GAS.AE is directly exposed to fluctuations in Brent crude, currently at \$106.79/bbl. A sharp correction, potentially triggered by an OPEC+ production surge or demand slowdown, would materially impact revenue and margins.
- Geopolitical Risk Escalation (Middle East) (Severity: High):** Regional tensions pose a dual risk of supply disruption (bullish for oil) or broader market destabilization and risk-off sentiment that could pressure all GCC equities.
- Energy Transition Long-Term Demand Risk (Severity: Medium):** Structural shifts towards renewable energy and decarbonization policies threaten long-term demand for hydrocarbon-based products, potentially leading to

asset stranding and multiple compression.

5. Analyst Consensus & Catalysts

There is no formal sell-side analyst coverage. The EisaX Fair Value Estimate, based on a 13x sector P/E applied to forward earnings, is 3.93﷼, implying a moderate upside potential of 18.8% from the current price. The next earnings date is not available, removing a near-term fundamental catalyst.

6. ✂️ Peer Comparison

vs **2222.SR (Saudi Aramco)**: ADNOC GAS.AE trades at a 25% discount on a forward P/E basis (13.7x vs 18.3x). ADNOC GAS lags significantly in scale and integrated operations but offers similar exposure to high Gulf oil prices within the UAE.

7. EisaX Outlook

The stock offers a moderate implied return of 18.8% to our fair value, coupled with a 5.28% dividend yield, providing a total return potential in the mid-20% range. The primary risk/reward equation is asymmetrically tied to the direction of oil prices from the current elevated level of ~\$107/bbl.

8. 🕒 Why Now?

- **Market Sentiment:** The Fear & Greed Index at 11.0 (Extreme Fear) historically signals a contrarian opportunity, suggesting market pessimism may be overdone, but timing the reversal remains challenging.
- **Upcoming Catalyst:** The lack of a defined near-term earnings date shifts focus to macro and commodity catalysts, namely OPEC+ policy decisions and geopolitical developments.
- **Risk/Timing:** The bearish MACD crossover and low volume suggest the price could retest support near 3.20﷼ before establishing a base for a sustainable move higher.
- **Oil Price:** Brent at \$106.79/bbl provides a strong fundamental tailwind for revenues and cash flows in the near term.

9. 🌐 Advanced Scenario Analysis

Scenario	Impact	Expected Price	Suggested Hedge
🚀 Oil Spike \$150+/bbl	+22.3%	4.05﷼	Hold / partial profit
🛢️ Oil Crash to \$50/bbl	-29.2%	2.34﷼	Gold + Tech
📉 OPEC+ Production Surge	-9.9%	2.98﷼	Diversified equities
🌱 Energy Transition (long-term)	-12.4%	2.90﷼	Clean energy + Tech
🏦 Fed Rate Shock +2%	-6.0%	3.11﷼	Treasuries + Cash

10. 🛢️ Oil Price Sensitivity

Oil Price (Brent)	Change from Current	Est. Revenue Impact	Est. Stock Price
\$107/bbl (current)	—	Base	3.31ﷵ
\$90/bbl	-16%	-11%	3.02ﷵ
\$80/bbl	-25%	-18%	2.85ﷵ
\$70/bbl	-34%	-24%	2.68ﷵ
\$60/bbl	-44%	-31%	2.51ﷵ
\$50/bbl	-53%	-37%	2.34ﷵ

The sensitivity analysis underscores the stock's high beta to oil. The estimated breakeven oil price for the current stock price is approximately \$70/bbl. The OPEC+ production outlook remains the critical variable; any coordinated move to increase supply against a backdrop of potential demand softness would trigger a re-pricing down the sensitivity curve. Current macro tensions, as noted in the global context, create a "risk premium" in the oil price, which is supportive but fragile.

 FACT-CHECK *(Verified Mar 31, 2026)*

Metric	Report	Live	Status
Price	3.31 ﷵ	3.31 ﷵ	
Local Price (AED)	—	3.31 ﷵ	
Beta	—	0.19	
P/E (TTM)	—	13.2x	
Forward P/E	—	13.7x	
Market Cap	—	249.33B AED	
52W Range	—	1.721 - 3.417	
Fear & Greed	—	 11 — Extreme Fear	
 Next Earnings: N/A			

Source: Yahoo Finance + StockAnalysis + CNN Fear&Greed — live at time of query

 Latest News *(EisaX live news engine)*

 ADNOCGAS — Company News

- Adnoc's XRG and OMV complete deal to create chemicals giant Borouge International *(The National)*
- ADNOC, OMV advance formation of Borouge Group International AG - [zawya.com](#) *(Zawya)*

- [ADNOC, OMV name leadership team for global Borouge chemicals giant \(Gulf News\)](#)
- [ADNOC and OMV announce executive leadership for Borouge Group International AG - ZAWYA \(Zawya\)](#)
- [ADNOC and OMV appoint new leadership for Borouge Group International - ZAWYA \(Zawya\)](#)

 UAE — Market News

- [UAE President receives Emir of Qatar on fraternal visit and discusses regional developments \(Gulf News\)](#)
- [LEAD Development showcases Jubail Island's integrated water system amid UAE rainfall \(Gulf News\)](#)
- [President Sheikh Mohamed meets Emir of Qatar on UAE visit \(The National\)](#)

 Market Context (EisaX Cache Data)

- **Momentum:** RSI **36.0** — 7.9 pts below sector avg (43.9)
- **Today:** Today **-1.54%** — 1.28% below market avg (-0.26%)
- **Sector Standing:** ADNOCGAS is outperforming **50%** of its Energy sector peers today

	This Stock	Sector Avg (Energy)	Market Avg
RSI	36.0  Neutral	43.9	42.8
Change Today	-1.54% ▼	-1.42%	-0.26%

 Regional Peer Comparison — Energy Sector Across Gulf Markets

#	Stock	Market	Price	Change	P/E	RSI	Div Yield	Mkt Cap
1	2222 TADAWUL : 2222	 KSA	27.40	+0.44% ▲	18.3x	63.2	5.03%	6599.0B
2	1211 TADAWUL : 1211	 KSA	64.80	+0.62% ▲	33.9x	35.6	—	250.4B
3	ADNOCGAS ADX : ADNOCGAS	 UAE	3.20	-1.54% ▼	12.9x	36.0	0.00%	249.4B
4	IQCD QSE : IQCD	 Qatar	10.64	+0.38% ▲	15.0x	31.8	6.54%	64.1B
5	2380 TADAWUL : 2380	 KSA	10.53	+0.00% ▲	—	77.8	—	28.7B
6	2223 TADAWUL : 2223	 KSA	106.80	+0.75% ▲	21.0x	73.3	4.42%	17.9B
7	DIC DFM : DIC	 UAE	3.78	-0.26% ▼	10.4x	50.1	6.53%	16.1B

#	Stock	Market	Price	Change	P/E	RSI	Div Yield	Mkt Cap
8	QFLS QSE:QFLS	 Qatar	14.48	+0.07% ▲	13.8x	42.7	6.16%	14.4B
9	APEX ADX:APEX	 UAE	3.37	-4.53% ▼	315.0x	45.7	—	12.5B
10	QAMC QSE:QAMC	 Qatar	1.40	+1.82% ▲	10.2x	39.4	7.27%	7.7B
11	1322 TADAWUL:1322	 KSA	86.90	+0.40% ▲	27.4x	41.3	2.77%	7.7B
12	EMSTEEL ADX:EMSTEEL	 UAE	1.01	-0.98% ▼	13.2x	37.6	—	7.0B

Cross-Market Intelligence

Sector Rotation:  **Energy** sector RSI (40.5) is in line with the market (42.8) — no strong rotation signal

Market Breadth (UAE):  48 advancing / 89 declining (27% of stocks up today)

Oil Correlation: Crude Oil (WTI) at **\$102.37** (-0.61% ▼) — Energy stocks typically move with oil; monitor Brent for directional cues.

 Cache data is **5 min** old — refreshed every 15 min by EisaX Pipeline

Positioning Guide

	Level	Rationale
 Entry	2.92 د.إ	Near SMA200 support
 Target	3.93 (%18.8+) د.إ	 EisaX FV Estimate (no analyst coverage)
 Stop	2.72 د.إ	Below SMA200 (-5%)

 **Awaiting Pullback** — Current price (3.31 د.إ) is **11.7% above** the entry level. Do **not** chase the current price. Wait for a pullback to the entry zone before initiating a position.

Suggested Position Size

Guidance	
Core Allocation	3–5% of portfolio

Guidance	
Add on Pullback	2.92 ﷵ
Max Exposure	7%

Sizing based on EisaX Score (55/100) · Conviction: Low

- ⚠️ High oil-price dependency — cap total Energy sector exposure at 15% of portfolio

EisaX Proprietary Score Card

ADNOCGAS.AE | HOLD 🟡 | Conviction: **Low** | EisaX Score: **61/100**

Conviction driven by: moderate upside (+19%), bullish technical momentum, low risk profile, no analyst coverage — EisaX FV estimate only

Metric	Value
Live Price	3.31 ﷵ
Price Target	3.93 (%18.8+) ﷵ [EisaX FV Est.]
Beta	0.19
Forward P/E	13.7x 🟢 Reasonable

Factor Analysis:

Factor	Score	Bar
Quality Score	40%	🔴 ██████████░░░░
Valuation	70%	🟡 ██████████░░░░
Price Upside	60%	🟡 ██████████░░░░
Risk Profile	80%	🟢 ██████████░░░░
Market Position	70%	🟡 ██████████░░░░
Technical Momentum	90%	🟢 ██████████░░░░
Analyst Sentiment	0%	🔴 ░░░░░░░░░░░░░░

📊 Score Breakdown:

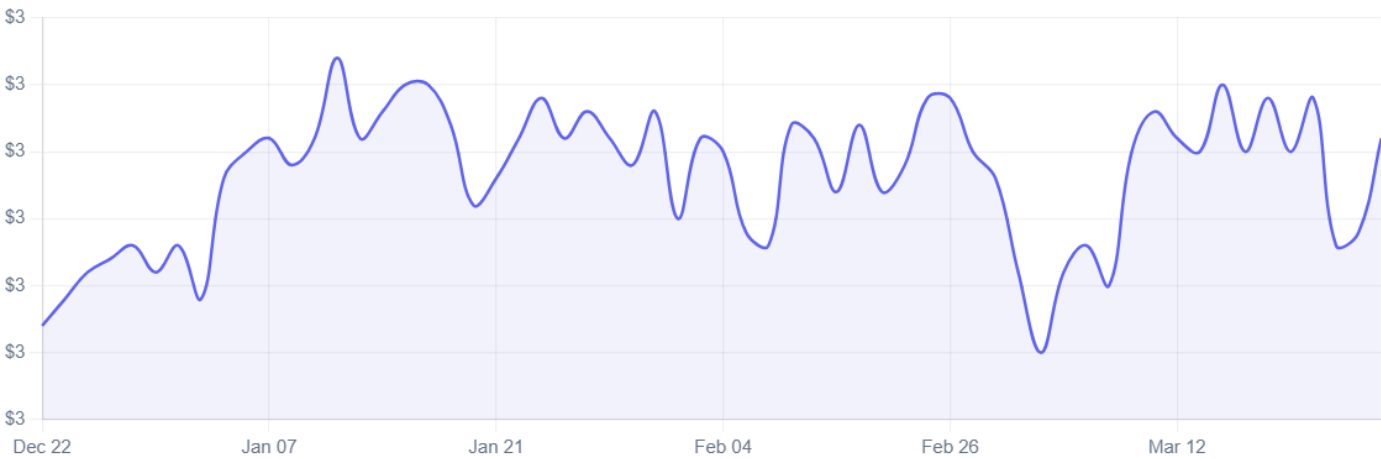
Pillar	Factors	Max	Earned	Score
 Fundamentals	Quality • Valuation • Market Position	55	31	
 Technical & Risk	Upside Potential • Risk Profile • Momentum	40	30	
 Analyst Sentiment	No analyst coverage	5	0	 (N/A)
TOTAL	<i>(all pillars)</i>	100	61	61/100

Score is 100% deterministic — computed from live market data using explicit mathematical thresholds. No LLM estimation. Every point is traceable to a specific data input.

Overall:  61/100

EisaX Proprietary Score | Abu Dhabi

 Price Chart (60 days)



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